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THE CENTRAL CIVIL SERVICES (REVISED PAY) RULES, 2016

Detailed & Exam-Oriented Study Notes

The 7th CPC Pay Matrix • Fitment • Fixation • Increments

Notified vide G.S.R. 721(E) dated 25 July 2016

Ministry of Finance, Department of Expenditure (F. No. 1-2/2016-IC)

Content verified against primary sources — August 2026 Edition

DISCLAIMER

PURPOSE & SCOPE

This booklet has been prepared by **Dak Guru** strictly as a study aid for departmental examinations — the Limited Departmental Competitive Examination (LDCE) for Inspector Posts and the PS Group 'B' examination. It is not a Government publication and carries no official sanction.

ACCURACY & CURRENCY

Every effort has been made to state the law as it stands in force. The bare text of the rules is reproduced from the Gazette notification (G.S.R. 721(E) dated 25.07.2016), and all subsequent amendments, executive orders, and judicial rulings cited herein have been verified against primary sources up to **August 2026**. Rules, orders and figures do change; a provision correct today may be superseded tomorrow.

RELY ON THE ORIGINAL

In case of any doubt, dispute, or use for official / financial decisions, readers **must** refer to the original Gazette notification, the governing Office Memoranda of the Ministry of Finance / DoP&T, and the relevant court judgments. Where this booklet and an official source differ, the official source prevails. Dak Guru accepts no liability for any loss arising from reliance on these notes.

HOW TO USE THESE NOTES

Read this one page before you begin

This booklet takes the **Central Civil Services (Revised Pay) Rules, 2016** — the instrument that gave effect to the 7th Central Pay Commission — and turns its bare, terse legal text into notes you can actually understand and remember. Each of the seventeen rules is presented in three layers:

- **The Rule, faithfully.** The operative text is reproduced as notified in the Gazette, so you learn the exact language an examiner may quote.
- **In Simple Terms.** A plain-language explanation of what the rule actually does, why it exists, and how it plays out in a real pay bill.
- **Exam & Departmental boxes.** The points that get tested, the numbers worth memorising, tricks to recall them, and — crucially — the later orders and court rulings that changed how the rule now operates.

The colour code of the boxes

Box	What it gives you
Quick Concept	The core idea in one or two lines
In Simple Terms	Plain-English translation of the legal text
Exam Focus	Exactly what to memorise for the paper
Memory Trick	A hook to recall a figure or a list
Illustration	A worked numerical example
Currency Alert	A later amendment, order or ruling that updates the rule
Landmark Ruling	A court decision you should be able to name
Departmental Angle	How it touches an India Post office in practice
Caution	A common trap or misconception

THE BIG PICTURE

Where these rules sit — and why they still matter in 2026

A. The pay-revision cycle

Roughly once a decade the Union Government appoints a **Central Pay Commission** to review the pay, allowances, pension and service conditions of its employees. The Commission only *recommends*; its report has no legal force by itself. The Government first accepts the report through a **Resolution**, and then gives the accepted pay structure the force of law by notifying **Revised Pay Rules** under the proviso to Article 309 of the Constitution. Those Rules are what a pay bill is actually drawn on.

QUICK CONCEPT

Recommendation → Resolution → Rules. The 7th CPC gave its report; the Government accepted it by a Resolution dated 25.07.2016; and the accepted structure became law through the **CCS (Revised Pay) Rules, 2016**, notified the very same day. This booklet is about that third step — the Rules.

B. What the 7th CPC changed

The old 6th-CPC system had two moving parts — a broad **Pay Band** plus a **Grade Pay** that fixed your seniority within it. The 7th CPC scrapped both and replaced them with a single **Pay Matrix**: a simple grid of 18 vertical **Levels** (one per old Grade Pay), each Level being a ladder of fixed **Cells**. Your pay is now just one number sitting in one cell of that grid.

Feature	6th CPC (old)	7th CPC — CCS (RP) Rules, 2016
Pay expressed as	Pay in Pay Band + Grade Pay	A single 'Basic Pay' = pay in a Cell of a Level
Structure	Pay Bands (PB-1 to PB-4) + Grade Pays	Pay Matrix — 18 Levels × vertical Cells
Entry conversion	—	Existing basic pay × 2.57 (the fitment factor)
Minimum pay	₹7,000	₹18,000 (Level 1, Cell 1)
Maximum pay	₹90,000 (Apex)	₹2,50,000 (Cabinet Secretary / Apex)
Annual increment	3% of (Pay+GP), on 1 July	Move one Cell down the Level; on 1 Jan or 1 July

MEMORY TRICK

“Level is the ladder, Cell is the rung.” You climb rungs (cells) with annual increments; you jump to a taller ladder (a higher Level) on promotion.

C. Are these rules still current? — Yes.

Aspirants often ask whether the 8th Pay Commission has already replaced these rules. It has **not**. The 8th CPC has been constituted and is at work, but until it reports and the Government notifies fresh Revised Pay Rules, the **CCS (RP) Rules, 2016 remain the pay-rules instrument in force** — and therefore remain fully examinable. Here is exactly where things stand:

CURRENCY ALERT

7th CPC / CCS (RP) Rules, 2016 — IN FORCE. Effective 01.01.2016; still the operative structure on which every pay bill is drawn as on August 2026.

8th CPC — CONSTITUTED, NOT YET REPORTED. Constituted by Gazette notification dated 03.11.2025. Chairperson: Justice (Retd.) Ranjana Prakash Desai;

Member (part-time): Prof. Pulak Ghosh; Member-Secretary: Shri Pankaj Jain, IAS. It must report within 18 months (i.e. by about mid-2027). As on August 2026 it is still in the consultation stage — the fitment factor, revised matrix and effective date are all undecided. The expected reference date is 01.01.2026, but that is a projection, not a notified fact.

Bottom line: study these rules as live law. Nothing here has been superseded by the 8th CPC.

DEPARTMENTAL ANGLE

For LDCE IP / PS Gr. 'B': questions on pay come from these 2016 rules — the fitment factor 2.57, minimum pay ₹18,000, the two increment dates, and pay fixation on promotion under Rule 13. The 8th CPC is, for now, only 'current-affairs' background.

WHAT'S NEW IN THIS EDITION

Corrections and updates baked in after primary-source verification

The earlier Dak Guru handout on this subject reproduced the bare rules with almost no explanation and did not flag the orders and judgments that have since changed how several rules operate. This edition rebuilds the notes from the Gazette text and layers in the verified developments below. Each is cited to its source in the rule where it appears and again in the closing *Sources & Verification Record*.

Rule	Update carried into this edition	Authority (verified)
Overall	8th CPC constituted 03.11.2025 but not yet reported — 2016 rules remain in force	8CPC Gazette notification 03.11.2025; 8cpc.gov.in
Sch. Part A / Rule 7	Level-13 pay matrix re-cast: Index of Rationalisation raised 2.57 → 2.67 (a genuine amendment to the 2016 rules)	CCS (RP) (Amendment) Rules, 2017 — notified 15.06.2017, effective 01.01.2016; DoE clarif. 28.09.2017
Rule 13	Option to have pay on promotion / MACP fixed from the Date of Next Increment (FR 22(I)(a)(1)) — a choice the bare rule does not mention	DoP&T OM 27.07.2017 & 28.08.2018; extended to MACP; DoE OM 28.11.2019
Rule 10	One NOTIONAL increment for those retiring on 30 June / 31 December — for pension calculation only	SC in KPTCL v. C.P. Mundinamani (11.04.2023) & orders of 06.09.2024, 20.02.2025; DoP&T order 14.10.2024
Rule 7(1)(A)	The 'bunching' benefit — how employees stacked into one cell get relief	DoE OM 07.09.2016 & clarificatory OM 03.08.2017
Rule 3(v)	The Gazette really does read '1st January 2006' for the DA index base — retained faithfully, with the DA-as-on-01.01.2016 (125%) explained	G.S.R. 721(E) dated 25.07.2016 (primary text)

Rule	Update carried into this edition	Authority (verified)
Rule 13 (NPA)	Mis-dated '(Updated 2025)' tag removed; the ₹2,37,500 ceiling correctly traced to the 7th-CPC Apex/Cab-Sec average	CCS (RP) Rules, 2016, Rule 13(ii) read with the Pay Matrix

CAUTION

A note on the '2006' date in Rule 3(v). It looks like a typo, but it is not — the notified Gazette text genuinely says “index average as on 1st day of January, 2006”. It is a drafting carry-over referring to the DA base index; the operative dearness allowance as on 01.01.2016 was 125%. We reproduce the rule exactly and explain the number rather than 'correcting' the law.

THE RULES, EXPLAINED

Rules 1 to 7 — application, definitions and the fixation of pay

Rule 1 — Short Title and Commencement

(1) These rules may be called the Central Civil Services (Revised Pay) Rules, 2016. (2) They shall be deemed to have come into force on the **1st day of January, 2016**.

IN SIMPLE TERMS

The rules were signed and notified on **25 July 2016**, but they are given *retrospective* effect from 1 January 2016. That is why arrears had to be paid: for the roughly seven months between January and the notification, employees had been paid on the old scale and were owed the difference.

EXAM FOCUS

Two dates worth separating: date of commencement / effect = **01.01.2016**; date of notification = **25.07.2016**. Several later provisions (the three-month option window, the switch-over on promotion) hang on the notification date, not the effective date.

Rule 2 — Categories of Government Servants to Whom the Rules Apply

The rules apply to persons appointed to civil services and posts under the Union whose pay is debitable to the **Civil Estimates**, and to persons serving in the **Indian Audit and Accounts Department**. They then carve out eight categories to whom they do **not** apply:

1. Group 'A', 'B' and 'C' posts under the Administrator of the Union Territory of Chandigarh;
2. persons locally recruited for Indian establishments (diplomatic, consular, etc.) in foreign countries;
3. persons not in whole-time employment;
4. persons paid out of contingencies;
5. persons paid otherwise than on a monthly basis, including piece-rate workers;
6. persons employed on contract, except where the contract itself provides otherwise;
7. persons re-employed in Government service after retirement;
8. any other class the President may, by order, specifically exclude.

IN SIMPLE TERMS

Think of it as "regular civil Government servants paid from the civil budget — plus audit staff." The exclusions are the irregular or specially-treated categories: the casual and piece-rate paid, the contractually engaged, the re-employed pensioner (whose pay is governed by separate re-employment rules), and locally-recruited staff abroad.

CURRENCY ALERT

Also outside these rules by design: Railway employees and civilians paid from Defence Services Estimates, who are covered by their own parallel Revised Pay Rules/Regulations (e.g. the Railway Services (RP) Rules and the Army/Air Force/Navy Officers Pay Rules). The pay *matrix* is common in design, but the notifying instrument differs.

MEMORY TRICK

Recall the exclusions as **"Chandigarh, Consulate, Casual, Contingency, Cash-not-monthly, Contract, Comeback (re-employed), Cabinet-may-add."** Eight C's.

Rule 3 — Definitions (the vocabulary of the Pay Matrix)

Rule 3 is the dictionary for everything that follows. Master these twelve terms and the fixation rules become mechanical.

Term	What it means (in plain words)
existing basic pay	Your pre-revised pay = Pay in the Pay Band + Grade Pay (or pay in the pre-revised scale for HAG and above).
existing Pay Band & Grade Pay	The PB and GP of the post held on the day just before these rules were notified — substantive or officiating.
existing scale	The pre-revised scale for the top brackets — HAG, HAG+, Apex and Cabinet Secretary.
existing pay structure	The whole pre-revised system (PB+GP / scale) as it stood immediately before these rules came into force.
existing emoluments	Existing basic pay + existing DA 'at index average as on 1st January 2006' (see note below).
Pay Matrix	The master grid in Part A of the Schedule — Levels arranged in vertical cells, mapped from each old PB+GP / scale.
Level	A vertical column of the Matrix, one per old Grade Pay / scale (Levels 1 to 18).
pay in the Level	The pay drawn in the appropriate Cell of a Level.
revised pay structure	The Pay Matrix and the Levels — the new system, replacing PB+GP.
basic pay (revised)	Simply the figure in the Cell of the Level you occupy — one number, no separate Grade Pay any more.
revised emoluments	The pay in the Level in the revised structure.
Schedule	The schedule appended to the rules (Parts A/B/C) — Part A is the Pay Matrix itself.

QUICK CONCEPT

Term	What it means (in plain words)

The single most important shift: under the old system your 'basic pay' had two parts (pay in band + grade pay). Under the new system **basic pay is one number** — the cell figure — and 'Grade Pay' disappears entirely as a pay element (it survives only as a label to identify which Level maps to your old post).

CAUTION

The '2006' puzzle in "existing emoluments". Rule 3(v) literally reads "existing dearness allowance at index average as on 1st day of January, 2006". That is the Gazette text, not a misprint in these notes — it is a drafting reference to the DA base index. In practice, the dearness allowance actually merged/counted for fixation was the DA as on **01.01.2016, which stood at 125%** (you can see the 125% used in the NPA illustration under Rule 7). Learn the words as written, but understand the working figure is 125%.

EXAM FOCUS

Frequently asked: "Basic pay in the revised structure" is defined in which rule? → Rule 3(x). "Pay Matrix"? → Rule 3(vi). "Level"? → Rule 3(vii). Examiners love matching the term to its clause number.

Rule 4 — Level of Posts

The Level of posts shall be determined in accordance with the various Levels as assigned to the corresponding existing Pay Band and Grade Pay or scale as specified in the Pay Matrix.

IN SIMPLE TERMS

Every old Grade Pay maps to exactly one new Level. You do not choose your Level — it is fixed by the post you hold. For example, the old GP ₹4,600 becomes Level 7; GP ₹4,800 becomes Level 8; GP ₹5,400 (PB-2) becomes Level 9 and GP ₹5,400 (PB-3) becomes Level 10.

DEPARTMENTAL ANGLE

India Post mapping you should know: Postal Assistant / Sorting Assistant (GP 2400) → Level 4; Inspector Posts (GP 4600) → Level 7; Assistant Superintendent of Posts / PS Gr. 'B' feeder (GP 4800) → Level 8; the PS Group 'B' post itself sits higher up the ladder. These are exactly the levels your fixation questions revolve around.

Rule 5 — Drawal of Pay in the Revised Structure (and the option to stay on the old one)

The default is that you draw pay in the new Level. But the rule gives a **one-time option to keep the old pay structure** for a while — chiefly so that an employee due for an increment shortly can time the switch to his advantage.

The two provisos — when you may stay on the old structure

- **First proviso:** you may continue on the existing structure until the date you earn your next (or any subsequent) increment in it, or until you vacate the post / stop drawing pay in it.
- **Second proviso:** if you were promoted or upgraded between 01.01.2016 and the date of notification, you may elect to switch to the revised structure from the date of that promotion / upgradation.

The three Explanations

- **Explanation 1:** the option to keep the old structure is available for **only one** PB+GP / scale.
- **Explanation 2:** no option for anyone appointed for the first time, or by transfer, **on or after 01.01.2016** — such a person is put straight on the revised structure.
- **Explanation 3:** a technical rule for those who retain the old structure while officiating — it protects the correct 'substantive pay' for FR 22 purposes.

IN SIMPLE TERMS

Why would anyone want to stay on the *old* scale? Timing. If your increment fell due on 1 July 2016 in the old scale, staying on until then and only then switching could give you a higher pay before the ×2.57 conversion is applied — sometimes yielding a better cell. The option lets you choose the more beneficial moment.

EXAM FOCUS

Key trap: the option is for one scale only (Expl. 1), and it is simply **not available** to fresh entrants or those transferred in on/after 01.01.2016 (Expl. 2). New recruits go on the new structure, full stop — that links straight to Rule 8.

Rule 6 — Exercise of Option

If you want the option under Rule 5, you must actually exercise it, in writing, within **three months** of the date of notification (or within three months of any later order revising the existing structure).

Situation	When the three-month clock starts
Ordinary case	From the date of notification of the rules (25.07.2016)
Out of India — leave / deputation / foreign service / active service	From the date of taking charge of the post in India
Under suspension on 01.01.2016	From the date of return to duty, if later

Deemed election, and finality

- If no option reaches the authority in time, the employee is **deemed to have elected the revised structure** with effect from 01.01.2016 [sub-rule (3)].

- The option, once exercised, is **final** [sub-rule (4)].

The three Notes — who else may still opt

- **Note 1:** those whose service was terminated on/after 01.01.2016 (expiry of post, resignation, dismissal, disciplinary discharge) may still exercise the option.
- **Note 2:** those who died on/after 01.01.2016 without opting are **deemed to have opted for the revised structure** from 01.01.2016 (or a later, more beneficial date) — the Head of Office then processes the arrears for the dependants.
- **Note 3:** those on earned or other leave with leave salary on 01.01.2016 may exercise the option.

MEMORY TRICK

"Silence = revised." Do nothing within three months and the law puts you on the new structure from 1 January 2016. The written option is only for the person who wants to *delay* the switch.

Rule 7 — Fixation of Pay in the Revised Pay Structure

This is the engine room of the whole exercise: the arithmetic that converts your old pay into a cell of the new Matrix. It is worth learning cold.

7(1)(A) — the universal method for all employees

> The pay in the applicable Level shall be the pay obtained by multiplying the **existing basic pay by a factor of 2.57**, rounded off to the nearest rupee; the figure so arrived at is located in that Level, and if it matches a Cell, that is the pay — otherwise the pay is fixed at the **immediate next higher Cell** in that Level.

IN SIMPLE TERMS

Three steps, always the same: (1) take your old basic pay (pay in band + grade pay); (2) multiply by 2.57 and round to the nearest rupee; (3) go to your Level in the Matrix and stop at that exact figure — or, if it is not a listed cell, at the next cell above it. The number 2.57 is the **fitment factor**, common to every employee.

ILLUSTRATION

Worked example (GP 2400, Level 4).

Existing pay in band ₹10,160 + Grade Pay ₹2,400 = **existing basic pay ₹12,560**.

₹12,560 × 2.57 = ₹32,279.20 → rounded ₹32,279.

In Level 4 there is no cell of exactly ₹32,279, so we take the next higher cell = **₹32,300**. That is the revised basic pay.

- **7(1)(A)(ii) — the floor:** if the first cell (minimum) of your Level is higher than the ×2.57 figure, your pay is fixed at that minimum. You can never be placed below the entry cell of your Level.

7(1)(B) — medical officers drawing Non-Practising Allowance (NPA)

For medical officers, the ×2.57 figure is first increased by the DA on the pre-revised NPA (as on 01.01.2006), located in the Level, and then the pre-revised NPA is added on top of the fixed pay.

> ILLUSTRATION
>
> **Worked example (GP 5400 PB-3, Level 10, 25% NPA).**
>
> Existing basic pay ₹21,000; NPA @25% = ₹5,250; DA on NPA @125% = ₹6,563.
>
> ₹21,000 × 2.57 = ₹53,970; + DA-on-NPA ₹6,563 = ₹60,533 → located in Level 10, next higher cell = ₹61,300.
>
> Add back pre-revised NPA ₹5,250 → pay + NPA = **₹66,550**.

7(2) — where the post itself was upgraded by the 7th CPC

If a post was upgraded (Part B / Part C of the Schedule), you first build a notional existing basic pay = pay in the band + the **Grade Pay of the upgraded Level**, and then apply the ordinary 7(1)(A) method.

> ILLUSTRATION
>
> **Upgraded from GP 2400 to GP 2800 (Level 5).** Pay for fixation = ₹10,160 + ₹2,800 = ₹12,960; × 2.57 = ₹33,307; next higher cell in Level 5 = **₹33,900**.

7(3)–(11) — leave, suspension, personal pay and stepping-up

- **(3)–(4):** employees on leave / study leave on 01.01.2016 get the revised pay from 01.01.2016 or the date of option.
- **(5):** an employee under suspension keeps drawing subsistence allowance on the old pay; revised fixation waits for the outcome of the proceedings.
- **(7) & (9):** if existing emoluments (or existing personal pay + emoluments) exceed the revised emoluments, the excess is protected as **Personal Pay**, to be absorbed in future increments.
- **(8) & (10): the anti-anomaly / 'stepping-up' rules.** If a senior ends up in a lower cell than a junior in the same cadre purely because of the fixation mechanics, the senior's pay is stepped up to the junior's — issued under FR 27, with conditions (same cadre, identical posts, senior was drawing equal/more pay, anomaly caused by FR 22). The advance-increment exception applies.

> CURRENCY ALERT
>
> **The 'bunching' benefit (a later clarification of Rule 7).** Because several closely-spaced pre-revised stages could convert to the same revised cell, employees who got 'bunched' were given relief by the Ministry of Finance: broadly, where two or more stages of the old scale came to be placed in a single cell, an additional increment was allowed, subject

to the methodology laid down in DoE O.M. dated **07.09.2016**, as corrected and explained by the O.M. dated **03.08.2017**. The precise counting method is set out in those OMs and should be applied from them, not from memory.

EXAM FOCUS

The one number every paper wants: the fitment factor is 2.57. It is uniform for all employees and appears in Rule 7(1)(A)(i). (Do not confuse it with the *Index of Rationalisation*, which is a different multiplier used only to build the first cell of each Level — and which was later revised to 2.67 for Level 13; see the "Schedule & Pay Matrix" note in the Concepts section that follows.)

THE RULES, EXPLAINED — CONTINUED

Rules 8 to 17 — increments, promotion, arrears and the closing rules

Rule 8 — Fixation of Pay of Direct Recruits Appointed on or after 01.01.2016

The pay of employees appointed by direct recruitment on or after 01.01.2016 shall be fixed at the **minimum pay or the first Cell** in the Level applicable to the post.

IN SIMPLE TERMS

A fresh recruit simply starts at the bottom cell of the Level for his post — no ×2.57 exercise, because there is no old pay to convert. A Postal Assistant recruited today starts at ₹25,500 (Level 4, Cell 1); a directly-recruited Inspector Posts starts at ₹44,900 (Level 7, Cell 1).

- **Proviso:** if such a recruit was appointed between 01.01.2016 and the notification and had already been fixed in the old structure, and his existing emoluments exceed the first cell, the excess is protected as **Personal Pay** (absorbed in future increments).

EXAM FOCUS

Contrast Rule 8 with Rule 7: Rule 7 converts serving employees' pay (×2.57); Rule 8 simply plants new recruits at the **first cell**. Link this back to Rule 5, Explanation 2, which denies new entrants the option to stay on the old structure.

Rule 9 — Increments in the Pay Matrix

The increment shall be as specified in the vertical Cells of the applicable Level in the Pay Matrix.

IN SIMPLE TERMS

An annual increment is no longer '3% calculated and added'. You simply **move down one cell** in your own Level. The value of the increment is already baked into the gap between the cells (the cells were themselves built at roughly 3% steps).

ILLUSTRATION

An employee at ₹32,300 in Level 4, on increment, moves straight down to the next cell = **₹33,300**. No calculation — just read the next rung.

Rule 10 — Date of Next Increment in the Revised Pay Structure

The 7th CPC's most visible change to increments: instead of a single increment date of 1 July, there are now **two** — 1 January and 1 July — although any one employee still gets only **one** increment a year.

If you are appointed / promoted / granted MACP between…	…your annual increment date is
2nd January and 1st July (both inclusive)	1st January
2nd July and 1st January (both inclusive)	1st July

If you are appointed / promoted / granted MACP between…	…your annual increment date is

IN SIMPLE TERMS

The logic is a **six-month qualifying-service** idea. To earn the increment on a given date you must have completed about six months in the level by then. So someone who joins in, say, March completes six months by September and takes the following 1 January increment; someone who joins in September takes the following 1 July.

ILLUSTRATION

(a) Appointed/promoted between 02.07.2016 and 01.01.2017 → first increment on 01.07.2017, annually thereafter.

(b) Appointed/promoted between 02.01.2016 and 01.07.2016 (who drew no increment on 01.07.2016) → first increment on 01.01.2017, annually thereafter.

Transition provisos: those whose pay was fixed as on 01.01.2016 got their next increment on 01.07.2016, and the one after that on 01.07.2017.

- **Sub-rule (3):** when two grades are merged and a junior would draw more than a senior, the senior's pay is stepped up to the junior's from the same date.

CURRENCY ALERT

BIG update — one notional increment for 30 June / 31 December retirees. Because Rule 10 grants the increment *on* 1 July / 1 January, an employee who superannuates on 30 June (or 31 December) — a single day short — used to lose the increment that his full year of service had earned, pulling down his pension. The courts corrected this.

Journey of the case: Madras HC in P. Ayyamperumal (15.09.2017) granted the notional increment; the Supreme Court affirmed the principle in ***Director (Admn. & HR) KPTCL v. C.P. Mundinamani (11.04.2023)***, and issued follow-up orders on 06.09.2024 and 20.02.2025.

Government's position now (DoP&T order dated 14.10.2024, to all Ministries): the increment due on 1 July / 1 January is allowed, notionally, to employees retiring on 30 June / 31 December who had rendered the requisite qualifying service with satisfactory conduct — but **strictly for calculating the pension only**, NOT for gratuity, leave encashment or other pensionary benefits. Per the apex court's directions, the financial benefit runs on and after 01.05.2023; no enhanced pension is paid for the period before 30.04.2023.

DEPARTMENTAL ANGLE

Practical office point: when settling the pension of a Government servant retiring on 30 June, add the notional increment (one cell down the Level) to the emoluments for pension computation, subject to the conditions above. It does not change his last pay drawn for other purposes.

MEMORY TRICK

“One day short, pension still counts.” Retire 30 Jun / 31 Dec → notional increment → pension only.

Rule 11 — Revision of Pay from a Date Later than 01.01.2016

Where a Government servant who stayed on the existing structure is brought over to the revised structure from a date later than 01.01.2016, his pay is fixed in the manner of **Rule 7(1)(A)**.

IN SIMPLE TERMS

This is the companion to the Rule 5 option. If you chose to remain on the old scale for a while, the day you finally switch, the same ×2.57 method is applied — just from that later date instead of from 1 January 2016.

Rule 12 — Pay Protection for Officers on Central Deputation (Central Staffing Scheme)

If an officer on deputation to the Centre under the Central Staffing Scheme would, after revised fixation, draw **less** than he would have in his parent cadre, the shortfall is protected as **Personal Pay** from the date of notification.

IN SIMPLE TERMS

Deputation should never cost an officer money. If the deputation post's fixed pay falls below what the parent-cadre pay would have been, the difference is made up as Personal Pay so the officer is not penalised for serving at the Centre.

Rule 13 — Fixation of Pay on Promotion on or after 01.01.2016

The method for moving up a Level on promotion (or financial upgradation under MACP). It is a two-move operation, and it is heavily examined.

(i) One increment is given in the Level **from which** the employee is promoted; he is then placed in the Level **to which** promoted at a Cell equal to that figure — or, if none matches, at the **next higher Cell** in the new Level.

IN SIMPLE TERMS

Two moves: (1) add one increment in your *old* Level (move one cell down), then (2) carry that figure *across* to the new Level and sit at the equal or next-higher cell there. The single increment on promotion is thus given in the lower Level, not the higher one.

ILLUSTRATION

Promotion from Level 4 to Level 5.

Basic pay in Level 4 = ₹28,700. Add one increment in Level 4 → ₹29,600.

Carry ₹29,600 to Level 5; the equal-or-next-higher cell is **₹30,100** → pay on promotion.

- **(ii) NPA ceiling:** for officers drawing Non-Practising Allowance, basic pay + NPA shall not exceed the **average of the Apex Level and the Cabinet Secretary's pay**.

QUICK CONCEPT

What that NPA ceiling works out to: Apex Level = ₹2,25,000 and Cabinet Secretary = ₹2,50,000; their average = **₹2,37,500**. So Basic Pay + NPA can never cross ₹2,37,500. (An earlier handout tagged this figure '(Updated 2025)', which was misleading — the ceiling flows directly from the 7th-CPC pay matrix adopted in these 2016 rules and has not changed.)

CURRENCY ALERT

Major real-world overlay — the FR 22(I)(a)(1) option on promotion. The bare rule fixes pay from the *date of promotion*. But employees were later given a valuable **choice**: to have pay on promotion fixed either (a) straightaway from the date of promotion, or (b) from the **Date of Next Increment (DNI)** in the lower post — whichever is more beneficial.

Authorities: DoP&T O.M. No. 13/02/2017-Estt.(Pay-I) dated **27.07.2017** (introduced the option), clarified by O.M. dated **28.08.2018** (method of fixation from DNI); the same option was extended to **MACP** upgradations; and DoE O.M. dated **28.11.2019** clarified the resulting date of next increment where pay is fixed under Rule 13.

Why it matters: choosing the DNI ("Option 2") often lands the employee in a higher cell a few months later, giving a permanently higher pay than taking the promotional increment immediately. This is a live, frequently-tested planning point.

EXAM FOCUS

Two figures to keep straight in Rule 13: the promotion gives **one increment in the lower Level**; and the NPA+pay ceiling is **₹2,37,500**. And remember the FR 22 option: date of promotion vs date of next increment.

Rule 14 — Mode of Payment of Arrears of Pay

The arrears shall be paid during the Financial Year 2016-2017.

IN SIMPLE TERMS

"Arrears" here means the gap, for the period from 01.01.2016, between the pay and DA actually drawn on the old scale and what was due on the revised scale. The rule required this back-pay to be cleared within 2016-17 (it was paid in one instalment along with the August 2016 salary).

Rule 15 — Overriding Effect of the Rules

The Fundamental Rules and every earlier Revised Pay Rules set (1947, 1960, 1973, 1986, 1997, 2008) shall **not apply** to cases regulated by these rules, to the extent they are inconsistent with them.

IN SIMPLE TERMS

Where the old FRs or a previous pay-rules set clash with the 2016 rules, the 2016 rules win — but only on the point of conflict. Everything in the FRs not inconsistent with these rules continues to operate (which is why FR 22 and FR 27 are still invoked inside Rules 7 and 13).

MEMORY TRICK

The chain of Revised Pay Rules: 1947 → 1960 → 1973 → 1986 → 1997 → 2008 → 2016. Each CPC's rules override the last, so far as inconsistent.

Rule 16 — Power to Relax

Where the President is satisfied that a rule causes **undue hardship** in a particular case, he may, by order, relax it to the extent and on the conditions he considers just and equitable.

IN SIMPLE TERMS

A safety valve. Rules can throw up genuinely harsh outcomes in odd individual cases; this lets the Government soften a specific rule for a specific case, without amending the rule for everyone. The power sits with the President (in practice, the competent authority acting in his name).

Rule 17 — Interpretation

If any question arises on the interpretation of these rules, it shall be referred to the Central Government for decision.

IN SIMPLE TERMS

Doubts about meaning are not settled office by office — they go up to the Central Government (Ministry of Finance, Department of Expenditure), whose decision binds. This is why so much of the working detail lives in Department of Expenditure and DoP&T Office Memoranda rather than in the rules themselves.

EXAM FOCUS

Round-up of the four 'closing' rules: 14 arrears (FY 2016-17) • 15 overriding effect • 16 power to relax (President, undue hardship) • 17 interpretation (Central Government). These short rules are easy one-mark grabs.

CONCEPTS PULLED TOGETHER

The Pay Matrix, the increment system and the orders that update the rules

A. The Schedule & the Pay Matrix — and the 2017 Level-13 amendment

The rules are only the machinery; the actual numbers live in the **Schedule**. Part A is the Pay Matrix (18 Levels, each a column of cells). Parts B and C list the posts whose Levels were upgraded by the 7th CPC. Two multipliers do two different jobs — and confusing them is a classic mistake:

Multiplier	What it does	Value
Fitment Factor	Applied to an individual's existing basic pay to fix pay (Rule 7)	2.57 — same for everyone
Index of Rationalisation (IOR)	Used by the Commission only to build the FIRST cell (entry pay) of each Level	2.57 to 2.81, rising with Level

IN SIMPLE TERMS

Everybody's pay is fixed with **2.57**. The IOR is invisible to you — it was the tool the Commission used to decide where each Level's ladder should start. Higher responsibility levels were given a slightly larger IOR so the entry pay rose a little faster.

CURRENCY ALERT

Amendment to the rules you must know — Level 13 IOR raised 2.57 → 2.67. As originally notified, Level 13 was built on an IOR of 2.57, out of step with Levels 12 and 13-A on either side of it (both 2.67). The Government corrected this through the ***CCS (Revised Pay) (Amendment) Rules, 2017***, notified on **15.06.2017** and effective **01.01.2016**. The Level-13 column of the Pay Matrix was re-cast on the higher IOR (entry cell revised upward), and the earlier Level 13 became "non-existent ab initio." Officers already in Level 13 were given a fresh opportunity to re-exercise their Rule 5/6 option. (Clarified by DoE O.M. No. 4-6/2017-IC dated 28.09.2017.)

CAUTION

Do not over-read the 2017 amendment. It changed the IOR (hence the cell values) for Level 13 only. It did **not** touch the universal fitment factor of 2.57 in Rule 7, which remains 2.57 for fixing every individual's pay.

B. Anatomy of the Pay Matrix

- **Columns = Levels.** 18 in all, replacing the old Grade Pays. Level 1 (GP 1800) up to Level 18 (Cabinet Secretary, fixed ₹2,50,000).
- **Rows within a column = Cells.** Each cell is the next annual increment stage; you move down the column one cell per increment.

- **Horizontal move = promotion.** On promotion you jump rightwards to a higher Level (after the Rule 13 one-increment step).
- **Anchors to memorise:** Minimum pay ₹18,000 (Level 1, Cell 1). Maximum ₹2,50,000 (Level 18). Apex (HAG+/Secretary-level) ₹2,25,000 (Level 17).

MEMORY TRICK

"Down for a year, right for a rank." Increment moves you down the same column; promotion moves you right to the next column.

C. The increment system in one view

Question	Answer under CCS (RP) Rules, 2016
How much is an annual increment?	Not a percentage you compute — just the next cell down your Level (cells were built at ~3% steps). [Rule 9]
When does it fall due?	1 January OR 1 July — but only one of the two in a year. [Rule 10]
Which of the two dates is mine?	Depends on when you were appointed / promoted / got MACP — the six-month qualifying-service rule. [Rule 10(2)]
What happens on promotion?	One increment in the lower Level, then placement at equal/next-higher cell in the higher Level. [Rule 13]
Retiring 30 Jun / 31 Dec?	One NOTIONAL increment for pension calculation only (courts + DoP&T 14.10.2024).

D. The rules plus the orders that run them

The 2016 rules are deliberately spare; the operative detail lives in Ministry of Finance (Department of Expenditure) and DoP&T Office Memoranda, and in court rulings. The consolidated list below is the 'live' picture as verified for this edition (August 2026).

Instrument / Ruling	Date	What it does
G.S.R. 721(E) — CCS (RP) Rules, 2016	25.07.2016	The parent rules; effective 01.01.2016 (F. No. 1-2/2016-IC)
DoE O.M. 1-5/2016-IC	29.07.2016	Pay-fixation clarifications; preparation of fixation statements
DoE O.M. — bunching	07.09.2016	Bunching benefit for stacked stages (methodology)
DoP&T O.M. 13/02/2017-Estt.(Pay-I)	27.07.2017	Option to fix pay on promotion from Date of Next Increment (FR 22(I)(a)(1))
DoE O.M. — bunching (clarification)	03.08.2017	Corrected/clarified bunching methodology

Instrument / Ruling	Date	What it does
CCS (RP) (Amendment) Rules, 2017	15.06.2017	Level-13 IOR raised 2.57 → 2.67; matrix re-cast (eff. 01.01.2016)
DoE O.M. 4-6/2017-IC	28.09.2017	Clarifications on the modified Level-13
DoP&T O.M. — DNI option (clarification)	28.08.2018	Method of fixation from DNI; extended to MACP
DoE O.M. — date of next increment	28.11.2019	DNI where pay fixed under Rule 13 (six-month rule)
SC — KPTCL v. C.P. Mundinamani	11.04.2023	Notional increment principle for 30 Jun / 31 Dec retirees
DoP&T order — notional increment	14.10.2024	Implements notional increment; pension calculation ONLY
SC follow-up orders	06.09.2024 & 20.02.2025	Benefit financially from 01.05.2023; not before 30.04.2023
8th CPC — constitution	03.11.2025	Commission constituted; report due in 18 months (rules unchanged meanwhile)

EXAM FOCUS

If you memorise only five dates: 25.07.2016 (rules notified) • 01.01.2016 (effective) • 15.06.2017 (Level-13 amendment) • 27.07.2017 (DNI option on promotion) • 14.10.2024 (notional increment for 30 Jun/31 Dec retirees).

TEST YOURSELF

30 exam-style MCQs with a verified answer key

Work through these without looking back, then check the key. Every answer is traced to a rule or a verified order.

Q1. The CCS (Revised Pay) Rules, 2016 are deemed to have come into force on:

(a) 25 July 2016
(b) 1 January 2016
(c) 1 April 2016
(d) 1 July 2016

Q2. The rules were notified vide Gazette number:

(a) G.S.R. 721(E)
(b) G.S.R. 712(E)
(c) S.O. 721(E)
(d) G.S.R. 271(E)

Q3. The uniform fitment factor for fixing pay under Rule 7 is:

(a) 2.67
(b) 2.81
(c) 2.57
(d) 3.00

Q4. The minimum pay under the 7th CPC pay matrix (Level 1, Cell 1) is:

(a) ₹7,000
(b) ₹15,500
(c) ₹18,000
(d) ₹21,000

Q5. The maximum pay in the pay matrix (Cabinet Secretary, Level 18) is:

(a) ₹2,25,000
(b) ₹2,37,500
(c) ₹2,50,000
(d) ₹2,80,000

Q6. Under Rule 10, the two dates for grant of annual increment are:

(a) 1 Jan and 1 July
(b) 1 April and 1 Oct
(c) 1 July only
(d) 1 Jan and 1 April

Q7. The option under Rule 5 must ordinarily be exercised within:

(a) one month
(b) two months
(c) three months
(d) six months

Q8. If an employee does not exercise the option in time, he is deemed to have elected:

(a) the existing structure
(b) the revised structure from 01.01.2016
(c) no structure until he opts
(d) the revised structure from the notification date

Q9. A direct recruit appointed on/after 01.01.2016 has his pay fixed at:

(a) existing basic pay × 2.57
(b) the minimum pay / first cell of the Level
(c) the second cell of the Level
(d) the average of the Level

Q10. On promotion under Rule 13, one increment is first given in:

(a) the higher Level
(b) the lower Level
(c) both Levels
(d) neither Level

Q11. For an officer drawing NPA, basic pay + NPA shall not exceed:

(a) ₹2,25,000
(b) ₹2,50,000
(c) ₹2,37,500
(d) ₹2,80,000

Q12. The Index of Rationalisation for Level 13 was revised from 2.57 to 2.67 by:

(a) CCS (RP) Rules, 2016 itself
(b) CCS (RP) (Amendment) Rules, 2017
(c) CCS (RP) (Amendment) Rules, 2019
(d) a DoP&T circular of 2018

Q13. The notional increment for employees retiring on 30 June / 31 December is admissible for:

(a) all pensionary benefits
(b) gratuity and pension
(c) pension calculation only
(d) leave encashment only

Q14. The power to relax the rules in cases of undue hardship rests with:

(a) the Cabinet Secretary
(b) the Secretary (Expenditure)
(c) the President
(d) the CAG

Q15. Any question on interpretation of the rules is referred to:

(a) the Supreme Court
(b) the Central Administrative Tribunal
(c) the Central Government
(d) the CAG

Q16. The rules were made under:

(a) Article 312
(b) the proviso to Article 309 (and Article 148(5))
(c) Article 320
(d) Article 335

Q17. Arrears of revised pay were to be paid during the Financial Year:

(a) 2015-2016
(b) 2016-2017
(c) 2017-2018
(d) 2018-2019

Q18. Which of the following is NOT excluded from the rules by Rule 2?

(a) persons re-employed after retirement
(b) persons paid out of contingencies
(c) persons serving in the IA&AD
(d) persons employed on contract (contract silent)

Q19. "Basic pay" in the revised pay structure is defined in Rule:

(a) 3(vi)
(b) 3(x)
(c) 3(xi)
(d) 3(v)

Q20. A Postal Assistant / Sorting Assistant (pre-revised GP ₹2,400) maps to which Level?

(a) Level 2
(b) Level 3
(c) Level 4
(d) Level 5

Q21. Inspector Posts (pre-revised GP ₹4,600) maps to which Level?

(a) Level 6
(b) Level 7
(c) Level 8
(d) Level 9

Q22. The option to fix pay on promotion from the Date of Next Increment flows from:

(a) Rule 8
(b) FR 22(I)(a)(1) read with DoP&T O.M. dated 27.07.2017
(c) FR 27 only
(d) Rule 16

Q23. The 8th Central Pay Commission was constituted by Gazette notification dated:

(a) 16 January 2025
(b) 3 November 2025
(c) 1 January 2026
(d) 25 July 2026

Q24. An annual increment in the pay matrix is granted by:

(a) adding 3% and rounding
(b) moving one cell down the same Level
(c) moving to the next Level
(d) adding grade pay

Q25. Rule 3(v) defines existing emoluments using DA at index average as on:

(a) 1 January 2006
(b) 1 January 2016
(c) 1 July 2016
(d) 1 January 2015

Q26. The option under Rule 6, once exercised, is:

(a) revisable within a year
(b) final
(c) valid for two scales
(d) provisional until audit

Q27. The order re-fixing a senior's pay by stepping-up is issued under:

(a) FR 22
(b) FR 27
(c) FR 9
(d) Rule 11

Q28. The rules override earlier Revised Pay Rules and the FRs:

(a) completely
(b) to the extent they are inconsistent
(c) only for Group A
(d) not at all

Q29. An employee appointed between 2 July 2016 and 1 January 2017 draws his first increment on:

(a) 1 January 2017
(b) 1 July 2017
(c) 1 January 2018
(d) the date of appointment

Q30. After multiplying by 2.57, the resulting figure is rounded off:

(a) down to the nearest hundred
(b) to the nearest rupee
(c) up to the nearest ten
(d) to two decimals

Answer Key & Rationale

Q	Ans	Why
1	B	Deemed in force 01.01.2016 (Rule 1).
2	A	Notified vide G.S.R. 721(E) dated 25.07.2016.
3	C	Fitment factor 2.57 — Rule 7(1)(A)(i).
4	C	₹18,000 is Level 1, Cell 1.
5	C	₹2,50,000 — Cabinet Secretary, Level 18.
6	A	1 Jan and 1 July — Rule 10(1).
7	C	Three months from notification — Rule 6(1).
8	B	Deemed revised structure from 01.01.2016 — Rule 6(3).
9	B	First cell / minimum of the Level — Rule 8.
10	B	One increment in the lower Level, then placement in the higher — Rule 13(i).
11	C	Average of ₹2,25,000 and ₹2,50,000 = ₹2,37,500 — Rule 13(ii).
12	B	CCS (RP) (Amendment) Rules, 2017, notified 15.06.2017, eff. 01.01.2016.
13	C	Pension calculation only — DoP&T order 14.10.2024, per the Supreme Court.
14	C	The President — Rule 16.
15	C	Central Government — Rule 17.
16	B	Proviso to Article 309 and Article 148(5) — preamble to the rules.
17	B	FY 2016-2017 — Rule 14.
18	C	IA&AD staff are covered (included), not excluded — Rule 2(1).
19	B	Rule 3(x) defines revised 'basic pay'.
20	C	GP 2400 → Level 4.
21	B	GP 4600 → Level 7.
22	B	FR 22(I)(a)(1) with DoP&T O.M. 13/02/2017-Estt.(Pay-I) dated 27.07.2017.
23	B	8th CPC constituted vide notification dated 03.11.2025.
24	B	Move one cell down the same Level — Rule 9.
25	A	The Gazette text reads '1st January 2006' (working DA on 01.01.2016 = 125%).
26	B	Final — Rule 6(4).
27	B	FR 27 — Rule 7(10)(ii).
28	B	Only to the extent inconsistent — Rule 15.
29	B	1 July 2017 — Rule 10(2), illustration (a).
30	B	Rounded to the nearest rupee — Rule 7(1)(A)(i).

EXAM FOCUS

Scoring yourself: 25+ correct — you are matrix-ready. 18–24 — revisit Rules 7, 10 and 13. Below 18 — re-read the 'Concepts Pulled Together' section, then retake.

SOURCES & VERIFICATION RECORD

How every claim in this booklet was checked — August 2026

Dak Guru's standard is zero-error accuracy against primary sources. The bare rule text in this booklet is reproduced from the Gazette notification; every later development is traced to the order or judgment that created it. This record lets you re-verify anything for yourself.

A. Primary text of the rules

- **The Central Civil Services (Revised Pay) Rules, 2016 —** Ministry of Finance, Department of Expenditure, Notification No. G.S.R. 721(E) dated 25 July 2016 (F. No. 1-2/2016-IC), published in the Gazette of India, Extraordinary, Part II, Section 3(i). Effective 01.01.2016. Rules 1–17 and the Schedule (Part A — Pay Matrix).
- **Companion instructions —** DoE O.M. No. 1-2/2016-IC dated 25.07.2016 (method of fixation, para 7) and O.M. No. 1-5/2016-IC dated 29.07.2016 (fixation statements, arrears).

B. Amendments and executive orders (verified)

Development	Source & date verified	Effect
Level-13 IOR 2.57 → 2.67	CCS (RP) (Amendment) Rules, 2017, notified 15.06.2017 (eff. 01.01.2016); DoE O.M. 4-6/2017-IC dated 28.09.2017	Level-13 matrix re-cast; option re-exercise allowed
Bunching benefit	DoE O.M. dated 07.09.2016; clarificatory O.M. dated 03.08.2017	Additional increment where stages bunched into one cell
Pay-fixation-on-promotion option (DNI)	DoP&T O.M. No. 13/02/2017-Estt.(Pay-I) dated 27.07.2017; clarification 28.08.2018; DoE O.M. 28.11.2019	FR 22(I)(a)(1) — choose date of promotion or DNI; extended to MACP
Notional increment (30 Jun / 31 Dec retirees)	SC in KPTCL v. C.P. Mundinamani (11.04.2023) + orders 06.09.2024 & 20.02.2025; DoP&T order 14.10.2024	One notional increment for pension calculation only; financial benefit from 01.05.2023

C. The 8th CPC — current status

- **Constitution:** Government of India notification dated 03.11.2025; official portal 8cpc.gov.in. Chairperson Justice (Retd.) Ranjana Prakash Desai; Member (part-time) Prof. Pulak Ghosh; Member-Secretary Shri Pankaj Jain, IAS. Report due within 18 months of constitution.

- **Status as on August 2026:** consultation stage; fitment factor, revised matrix and effective date all undecided. The CCS (RP) Rules, 2016 therefore remain the operative pay-rules instrument.

CURRENCY ALERT

Confirmed vs. still-moving. Everything cited above is confirmed against a primary or authoritative source as on August 2026. The one genuinely moving element is the 8th CPC: its recommendations, fitment factor and any consequential replacement of these rules will emerge only after it reports (expected around mid-2027). Re-check 8cpc.gov.in and the Department of Expenditure before quoting any 8th-CPC figure as final.

D. A note on faithfulness to the Gazette

CAUTION

Where the Gazette text itself contains an oddity — most notably the '1st January 2006' reference in the definition of “existing emoluments” (Rule 3(v)) — this booklet reproduces the law exactly as notified and explains the number, rather than silently 'correcting' the statute. Learning the exact words protects you if an examiner quotes the clause verbatim.

— End of Booklet —

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